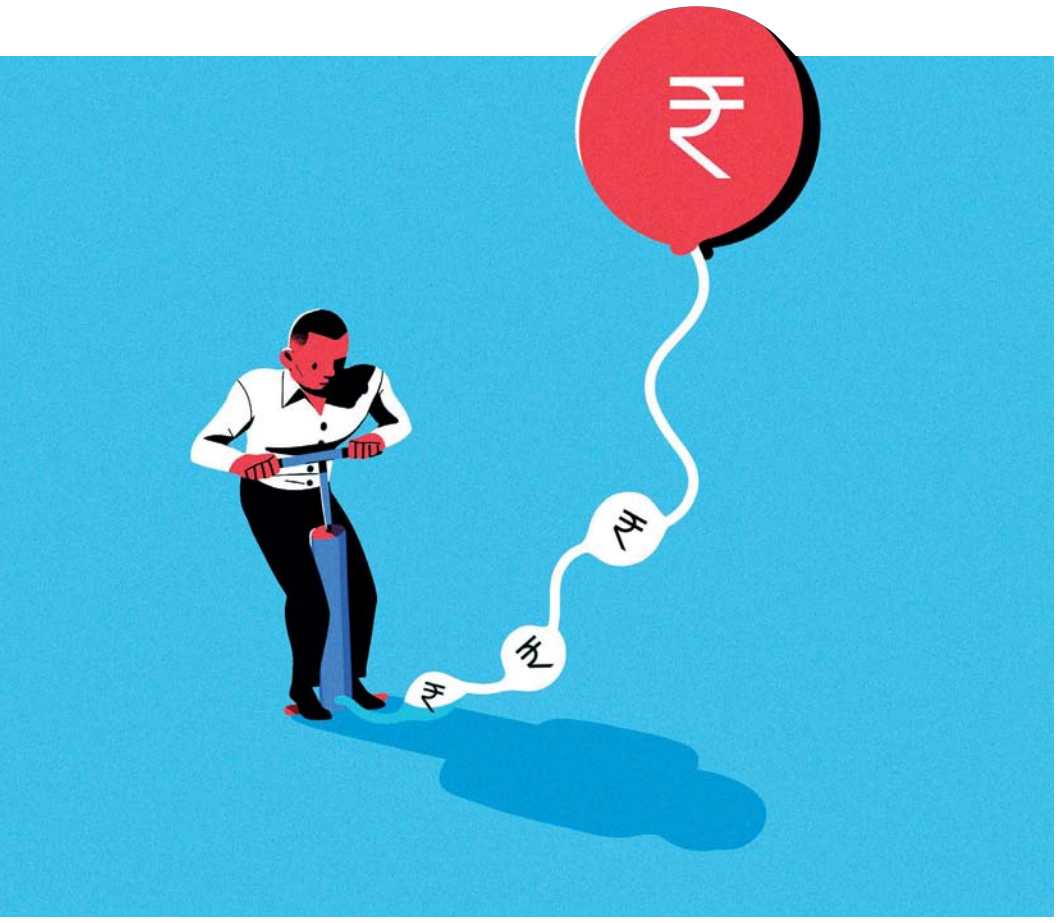


Illustration by SIDDHANT JUMDE

DEBT FUND RISKS

↘ INTEREST RATE They are not static, and can rise and fall. Also, interest rate and portfolio values (NAV) move in opposite directions, which means when interest rates fall, NAVs go up and vice versa

↘ CREDIT RISK This is about the bond issuer not returning the coupon income and/ or maturity proceeds on the specified dates as mentioned in the bond. No such risk in funds that invest in government securities

↘ LIQUIDITY RISK This happens if the bond is not tradable at fair value or faces major redemption in adverse market conditions

DEBT FUNDS

INVESTING FOR A STEADY INCOME

Investing in debt funds could provide a regular income stream and stability to portfolio returns

When it comes to mutual fund (MF) investing, most people assume equity is the only way to go. But there is a range of debt funds with varying degree of risks and time-frames to invest. Debt funds work on the principal of traditional debt instruments such as bank fixed deposits, small savings schemes and other bonds that provide a fixed interest payout. Debt funds invest in debt or fixed income securities of various corporate institutions and the government and are also known as income funds. But this doesn't mean that debt funds are immune to ups and downs or guarantee fixed returns like, say, FDs.

Many of the instruments debt funds invest in, such as corporate bonds, PSU bonds, debentures, commercial papers, treasury bills etc. are not always open to individual investors. Debt funds play the role of a facilitator to invest in a diverse universe of debt instruments that require intricate investing knowledge. Moreover, unlike traditional debt instruments, debt funds invest in tradeable debt instruments in the market segment where such trades occur, making them earn superior returns compared to a standard FD.

↘ DEBT FUND STRUCTURE

There are a few compelling reasons to invest in debt funds—diversification among the universe of debt instruments, superior returns, liquidity and tax efficiency being a few. These also provide the convenience of mutual fund investing by way of investing small regular sums to suit an investor's financial needs and suitable time-frame. At the same time, debt funds also carry risks like any other financial instrument (see *Debt Fund Risks*).

For the sake of investors, market regulator SEBI introduced a comprehensive categorisation exercise under which debt funds are defined, including the kind of securities they can invest